SEPTEMBER 24, 2014

# CARE REVISES THE RATINGS ASSIGNED TO THE BANK FACILITIES OF BHUSHAN POWER & STEEL LTD

**Ratings**

| Facilities | Amount (Rs. crore) | Ratings[1] | Remarks |
|---|---|---|---|
| Long-term Bank Facilities | 33,000 | **CARE BB (Double B)** | Revised from CARE BBB |
| Short-term Bank Facilities | 3,700 | **CARE A4 (A Four)** | Revised from CARE A3 |
| Short-term Unsecured Loans | 1,000 | **CARE A4 (A Four)** | Revised from CARE A3 |
| **Total Facilities** | **37,700** | | |

**Rating Rationale**

The rating revision takes into account deterioration in BPSL's credit profile as reflected by enhanced liquidity risk resulting from delay in availment of additional funds (debt as well as equity) for the large sized capex being undertaken as well as for funding the working capital borrowings and meeting the sizeable imminent repayments due in FY15. The ratings also take into account BPSL's continued high gearing levels as against an expected improvement.

The ratings derive strength from BPSL's experienced promoters and management, its presence across significant stretch of steel value chain, and well-established track record of successfully executing large scale projects.

However, the ratings are constrained by leveraged capital structure, high project execution risk with relatively large size of the ongoing project, stressed debt servicing indicators with imminent repayments, lack of complete backward integration, relatively high working capital cycle and cyclical nature of the steel industry.

BPSL's ability to manage its liquidity, deleverage its capital structure, and successfully complete Phase VI of expansion within envisaged time and cost are the key rating sensitivities.

**Background**

Formed in 1999, consequent to the merger of a group of closely held companies viz. Bhushan Industries Ltd. (BIL), Bhushan Metallics Ltd. (BML) and Décor Steel Ltd. (DSL), BPSL is a steel manufacturer with facilities for long as well as flat steel products. The company has presence across the value chain with manufacturing facilities for sinter, sponge iron, pig iron, HRC, CRC, Bars, Rods and galvanized sheets, tubes and pipes.

As per audited FY14 (refers to the period April 1 to March 31), BPSL achieved a PAT of Rs.635 crore on a total income of Rs.10,390 crore as compared to PAT of Rs.572 crore on a total income of Rs.8,704 crore in FY13.

**Analyst Contact**
Name: Mr Puneet Bhatia
Tel: 022- 67543453
Email: puneet.bhatia@careratings.com

*CARE has classified instruments rated by it on the basis of complexity. This classification is available at www.careratings.com. Investors/market intermediaries/regulators or others are welcome to write to care@careratings.com for any clarifications.*

[1] *Complete definition of the ratings assigned are available at www.careratings.com and other CARE publications*

**Disclaimer:** CARE's ratings are opinions on credit quality and are not recommendations to sanction, renew, disburse or recall the concerned bank facilities or to buy, sell or hold any security. CARE has based its ratings on information obtained from sources believed by it to be accurate and reliable. CARE does not, however, guarantee the accuracy, adequacy or completeness of any information and is not responsible for any errors or omissions or for the results obtained from the use of such information. Most entities whose bank facilities/instruments are rated by CARE have paid a credit rating fee, based on the amount and type of bank facilities/instruments.

# CONTACT

**Head Office Mumbai**

**Mr. D.R. Dogra**
Managing Director
Mobile: +91-98204 16002
E-mail: dr.dogra@carerating.com

**Mr. Rajesh Mokashi**
Dy. Managing Director
Mobile: +91-98204 16001
E-mail: rajesh.mokashi@careratings.com

**Ms. Meenal Sikchi**
Vice President - Bank Loan & Instrument Rating
Mobile: +91-9819009839
E-mail: meenal.sikchi@carerating.com

**Mr. Ankur Sachdeva**
Vice President - Bank Loan & Financial Services
Mobile: +91-9819698985
E-mail: ankur.sachdeva@careratings.com

CREDIT ANALYSIS & RESEARCH LIMITED
Corporate Office: 4th Floor, Godrej Coliseum, Somaiya Hospital Road, Off Eastern Express Highway, Sion (East), Mumbai - 400 022
Tel: +91-22-6754 3456 | Fax: +91-22-6754 3457 | E-mail: care@careratings.com

*Other Office:*
503, Kaledonia, Sahar Road, Near Andheri Railway Station, Andheri (E), Mumbai - 400 069
Tel: +91-22-6144 3456 | Fax: +91-22-6144 3556

**AHMEDABAD**
**Mr. Mehul Pandya**
32, Titanium, Prahaladnagar Corporate Road,
Satellite, Ahmedabad - 380 015
Cell: +91-98242 56265
Tel: +91-79-4026 5656
E-mail: mehul.pandya@careratings.com

**BENGALURU**
**Mr. Dinesh Sharma**
Unit No. 1101-1102, 11th Floor, Prestige Meridian II,
No. 30, M.G. Road, Bangalore - 560 001.
Cell: +91-99000 41975
Tel: +91-80-4115 0445, 4165 4529
E-mail: dinesh.sharma@careratings.com

**CHANDIGARH**
**Mr. Sajan Goyal**
2nd Floor, S.C.O. 196-197, Sector 34-A,
Chandigarh - 160 022.
Cell: +91 99888 05650
Tel: +91-172-5171 100 / 09
Email: sajan.goyal@careratings.com

**CHENNAI**
**Mr. V Pradeep Kumar**
Unit No. O-509/C, Spencer Plaza, 5th Floor,
No. 769, Anna Salai, Chennai - 600 002.
Cell: +91 98407 54521
Tel: +91-44-2849 7812 / 0811
Email: pradeep.kumar@careratings.com

**HYDERABAD**
**Mr. Saikat Roy**
401, Ashoka Scintilla, 3-6-502, Himayat Nagar,
Hyderabad - 500 029.
Tel: +91-40-4010 2030
E-mail: saikat.roy@careratings.com

**JAIPUR**
**Mr. Rahul Jain**
304, Pashupati Akshat Heights, Plot No. D-91,
Madho Singh Road, Near Collectorate Circle,
Bani Park, Jaipur - 302 016.
Cell: +91 – 93149 21496
Tel: +91-141-402 0213 / 14
E-mail: rahul.jain@careratings.com

**KOLKATA**
**Ms. Priti Agarwal**
3rd Floor, Prasad Chambers, (Shagun Mall Bldg.)
10A, Shakespeare Sarani, Kolkata - 700 071.
Cell: +91-98319 67110
Tel: +91-33- 4018 1600
E-mail: priti.agarwal@careratings.com

**NEW DELHI**
**Ms. Swati Agrawal**
13th Floor, E-1 Block, Videocon Tower,
Jhandewalan Extension, New Delhi - 110 055.
Cell: +91-98117 45677
Tel: +91-11-4533 3200
E-mail: swati.agrawal@careratings.com

**PUNE**
**Mr. Rahul Patni**
9th Floor, Pride Kumar Senate,
Plot No. 970, Bhamburda, Senapati Bapat Road,
Shivaji Nagar, Pune - 411 015.
Cell: +91-78754 33355
Tel: +91-20- 4000 9000
E-mail:rahul.patni@careratings.com

**CIN - L67190MH1993PLC071691**